Pakistan’s Industrial Sector

Structure, Historical Evolution & Critical Challenges

Prof. Dr. Zahid Asghar

School of Economics, Quaid-i-Azam University, Islamabad

2026-01-01

Part I: Structure & Composition

The Industrial Sector of Pakistan

Overview of the industrial sector’s importance in Pakistan’s economy — its contribution to GDP, employment, and exports.

Why Industry Matters

Industry is the **engine of structural transformation** — no country has achieved sustained middle-income status without a strong manufacturing base.

~20%	19%	5.75%	~25%
INDUSTRY SHARE OF GDP (2024)	MANUFACTURING SUB-SECTOR	LSM GROWTH JUL–JAN 2025–26	INDUSTRIAL EMPLOYMENT

Sources: PBS 2026, Trading Economics, World Bank 2024

Sectoral Composition of GDP (2024)

53% SERVICES

25% INDUSTRY

22% AGRICULTURE & LIVESTOCK

WITHIN INDUSTRY:

Manufacturing — 19% of GDP (textiles, food, cement, pharma, auto)

Mining & Quarrying — ~3% of GDP (coal, natural gas, salt, marble, chromite)

Construction — ~2.5% of GDP (housing, infrastructure, CPEC projects)

Utilities — electricity, gas, and water supply

> **The Paradox:** Industry's GDP share has *declined* from ~24% in 2005 to ~20% in 2024 — Pakistan is **deindustrialising** before industrialising.

Major Industries at a Glance

INDUSTRY	EXPORT SHARE	KEY PRODUCTS	STATUS
Textiles & Garments	~60%	Yarn, fabric, knitwear, bedwear	Stagnating
Cement	Domestic + export	OPC, blended cement	Moderate
Food Processing	Growing	Dairy, rice, halal meat	Potential
Pharmaceuticals	~$300M	Generics, biosimilars	Emerging
Automobiles	Minimal	CKD assembly, 2/3-wheelers	Protected
IT & Software	~$3.2B	Freelancing, BPO, SaaS	Rising
Surgical Instruments	~$500M	Sialkot cluster	Niche

Source: PBS, SBP, TDAP — FY2024–25 estimates

The Textile Dominance Problem

OVER-RELIANCE ON ONE SECTOR

- Textiles account for **~60% of merchandise exports**
- Concentrated in **low-value segments** — yarn, grey cloth, basic garments
- Pakistan's unit price for garments is **30–40% below** Bangladesh and Vietnam
- Limited **value addition** — most exports are at the commodity end
- **Female labour force participation** at just ~24% constrains garment scaling

COMPARISON: TEXTILE EXPORT SOPHISTICATION

COUNTRY	UNIT VALUE ($/KG)	VALUE CHAIN
Vietnam	$18–22	Full package
Bangladesh	$14–17	Mid-value RMG
Pakistan	**$8–12**	**Basic/commodity**
Turkey	$20–25	Fashion + brand

Pakistan's garment exports are stuck in the lowest tier of the value chain

Key Insight: Bangladesh's garment exports grew from **$6B to $55B** (2000–2024). Pakistan's merchandise exports grew from **$9B to ~$32B** over the same period.

Part II: Historical Evolution

Pakistan’s Industrial Timeline

PHASE 1: IMPORT SUBSTITUTION (1947–1970S)

- **Post-Partition:** Almost no industrial base — Muslim majority areas were agricultural
- **1950s–60s:** Ayub Khan era — heavy industrialisation drive
  - Pakistan Industrial Development Corporation (PIDC)
  - Steel Mills, fertiliser plants, heavy machinery

- **“22 Families”** — concentration of industrial wealth

- **1970s:** Bhutto nationalisation — cotton ginning, rice husking, flour milling, vegetable ghee, cement
  - **Result:** Destroyed entrepreneurial class, created PSE burden that persists today

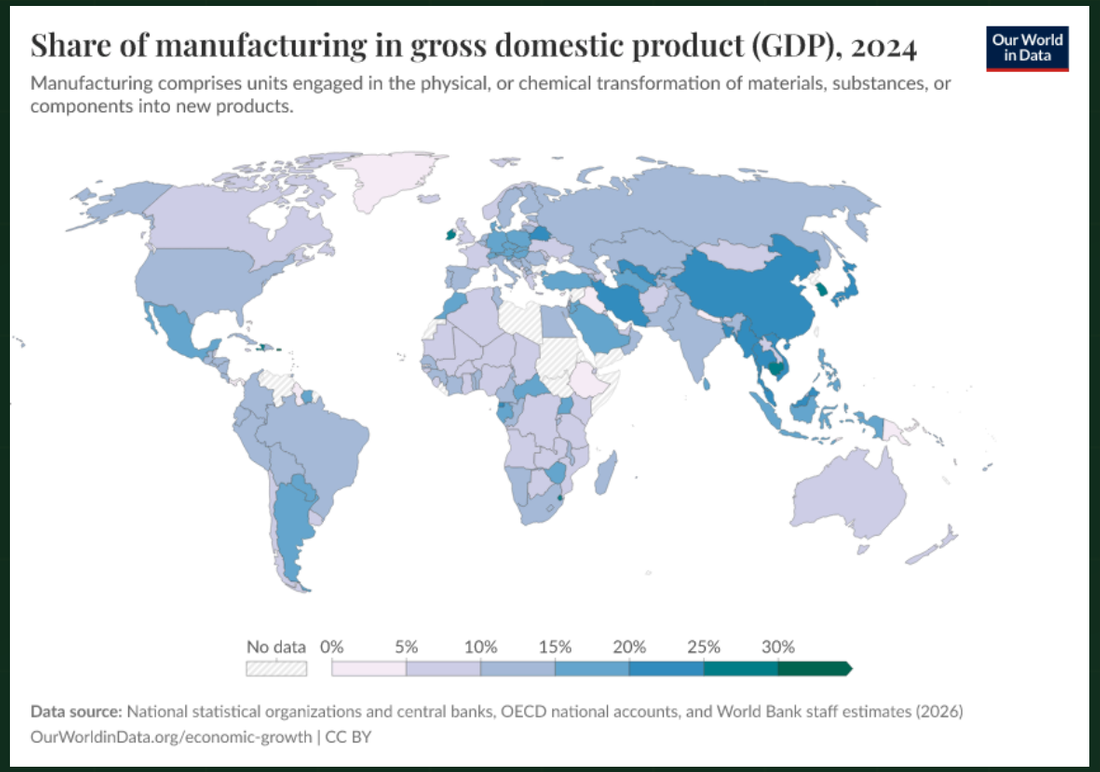
PHASE 2: LIBERALISATION & STAGNATION (1980S–2020S)

- **1980s:** Zia-era deregulation — private sector re-entry, some growth in textiles
- **1990s:** Structural adjustment, privatisation attempts (PTCL, Muslim

Commercial Bank)

- **2000s:** Musharraf-era consumption boom — telecom, banking, real estate; **not manufacturing**
- **2010s:** Energy crisis devastates industry — circular debt chokes manufacturing
- **CPEC (2015+):** Infrastructure-focused; **minimal industrial cooperation** or technology transfer
- **2020s:** COVID disruption → commodity shock → IMF austerity → demand destruction

The Decline of Industrial Share



Manufacturing Value Added (% of GDP) — Pakistan vs Peers

Source: Our World in Data / World Bank WDI 2026

A sobering trend: Pakistan's industrial share of GDP peaked at ~24% in 2005 and has since declined to ~20% in 2024. Manufacturing value added fell to **13.1%** in 2024. This is the **opposite** of East Asian structural transformation.

24% → 20% INDUSTRY

GDP SHARE: 2005 → 2024

WHY DEINDUSTRIALISATION?

Part III: Critical Challenges

CRITICAL CHALLENGES FACING PAKISTAN’S INDUSTRIAL SECTOR

The Energy Crisis — Industry's Biggest Burden

PKR 2.6T
CIRCULAR DEBT STOCK (FY2025)

~45,000 MW
INSTALLED CAPACITY

33.9%
UTILISATION FACTOR

3× TARIFF INCREASE SINCE 2015

HOW CIRCULAR DEBT KILLS INDUSTRY

Effective electricity tariff has risen from **PKR 12.5/kWh (2015)** to **PKR 34.5/kWh (2025)**

Capacity payments to IPPs reached **PKR ~2.1 trillion** in FY2024

T&D losses remain at **16–17%** across state-owned DISCOs

Industries choosing **captive power** or relocating production to Bangladesh/Vietnam

Roshan Maeeshat Bijli Package (Nov 2025): reduced industrial tariff to PKR 22.98/kWh — but temporary

Sources: NEPRA State of Industry Report, IMF Country Report 25/109, PIDE 2025

Export Stagnation — The Core Failure

PAKISTAN'S EXPORT TRAJECTORY

- **FY2025–26 (Jul–Feb):** Merchandise exports at **$20.5B** — down 7.3% YoY
- Total goods + services projected at **$40–41B** for FY2025–26
- Exports-to-GDP ratio: **~10%** — lowest in the region
- Textile concentration **>60%** with minimal diversification
- Government's **$100B by 2030** target: "aspirational rather than credible"

Industry Value Added (% of GDP) — Pakistan

Source: TheGlobalEconomy.com / World Bank

REGIONAL EXPORT COMPARISON (2024)

COUNTRY	EXPORTS/GDP
Vietnam	**87%**
Malaysia	**70%**
India	**22%**
Bangladesh	**15%**
Pakistan	**~10%**

Pakistan has the lowest export-to-GDP ratio among all regional peers

The Anti-Export Bias: A product priced at $100 globally, after 20% import tariff, sells for $120 domestically. Exporters find it more profitable to serve the captive domestic market — destroying competitiveness.

The Four Structural Distortions

1. ANTI-EXPORT BIAS

High import tariffs incentivise domestic sales over exports

Import duties rose from **15% (FY2010) to 21.3% (FY2020)**

Consumers pay inflated prices; producers have no incentive to export

Result: Exports stagnant for a decade

2. IMPORT SUBSTITUTION DEPENDENCY

3. MARKET-SEEKING FDI

- Foreign companies invest to **sell locally**, not to export
- No integration into global value chains
- Limited technology transfer or skill spillovers
- **Example:** Auto assemblers with 30+ years and still no export capability

4. POLICY CAPTURE

Protected industries are non-competitive globally

Permanent burden on foreign exchange — importing inputs for domestic-only production

Low-quality goods for captive market

- Industrial elites influence policy for private benefit
- Tariff protection, SROs, subsidies benefit incumbents
- Entry barriers prevent new competition
- **Result:** Rent-seeking over innovation

The Taxation Trap

Pakistan's tax-to-GDP ratio is **~10%** — among the lowest globally. Yet the burden falls **crushingly** on those already in the tax net.

WHO BEARS THE BURDEN?

SECTOR	EFFECTIVE TAX RATE	STATUS
Salaried Workers	35%+ (highest marginal)	Overtaxed
Corporations	29% + super tax = **39%+**	Overtaxed
Exporters	Highest effective rate in region	Punished
Agriculture (large holdings)	~0.1% of agri income	Undertaxed

SECTOR	EFFECTIVE TAX RATE	STATUS
Real Estate	Near-zero effective	Untaxed
Large Retail / Informal	Effectively untaxed	Untaxed

CONSEQUENCES

No fresh capital investment from major business groups

Exporters exiting high-value garment sub-sectors

Brain drain accelerating: 800,000+ skilled Pakistanis emigrated in 2023 alone

Documented economy **contracting** as businesses migrate to informality

Investment Drought

~13%	<$500M	80% FDI	25%+
PRIVATE INVESTMENT / GDP	FRESH FDI INFLOWS	= RETAINED EARNINGS	PEER COUNTRY INVESTMENT RATE

WHY NOBODY INVESTS IN PAKISTAN

Energy costs make manufacturing uncompetitive

Tax regime punishes formal sector, rewards informality

Policy discontinuity — no reform survives a government change

Weak property rights — capital flows to real estate, gold, foreign currency

Security and governance — contract enforcement unreliable

No exit options — capital account restrictions deter foreign investors

> *"Of $2.5B net FDI in FY2025, over $2B is retained earnings by existing firms. Genuine fresh inflows are under $500M — one of the lowest in the region."*

The Informal Economy — A Parallel System

SCALE OF INFORMALITY

- **72.1%** of non-agricultural workers in informal employment (PBS 2024–25)
- Informal economy estimated at **~$457B** — exceeding the formal documented economy (~$340B)
- **34%** of GDP occurs outside the formal sector (World Economics 2025)
- Only **~5 million** out of 240 million file income tax returns

WHY INFORMALITY PERSISTS

- Tax system **penalises formality** — easier and cheaper to stay informal
- Weak enforcement capacity — FBR relies on withholding, not documentation
- **Non-filer regime** institutionalises avoidance (higher rates, but no enforcement)
- Registration costs and compliance burden disproportionately hit small firms
- Informal firms face **no energy surcharges**, regulatory inspections, or social security contributions

The Vicious Circle: Narrow tax base → higher rates on formal sector → more businesses migrate to informality → tax base shrinks further → rates rise again.

PSE Burden — The State's Dead Weight

THE COST OF STATE-OWNED ENTERPRISES

KEY LOSS-MAKING SOES

PIA, Pakistan Railways, Pakistan Steel Mill, WAPDA — collectively cost **trillions** annually

SOE Report FY2025 shows no substantive improvement in governance

25 IMF programs since 1950 — each pledged PSE reform; none delivered

SOEs crowd out private investment and distort competition

POLITICAL ECONOMY OF SOES

SOEs serve as **patronage networks** — employment, contracts, subsidies

Each government pledges reform but **none follows through**

Military's own commercial enterprises span real estate, agriculture, manufacturing — assets grew from **$30B to $39.8B** (2016–2023)

ENTITY	ANNUAL LOSS	STATUS
PIA	PKR 200B+	Privatisation in process

Government commitment to IMF for restructuring/privatisation — repeatedly unfulfilled

Human Capital Deficit

THE NUMBERS

- **Learning poverty rate** among the highest in Asia
- **Human Capital Index** — bottom quartile globally
- **R&D spending** — 0.2% of GDP (S. Korea: 4.9%, India: 0.7%)
- **22.8 million** out-of-school children (UNESCO 2024)
- Severe **skills mismatch** between education output and labour market

needs

WHY THIS CRIPPLES INDUSTRY

- No workforce pipeline for technology-intensive manufacturing
- Engineers and IT professionals **emigrating** — 800,000+ in 2023
- Vocational training system outdated and underfunded
- Female LFPR at **~24%** — enormous productive capacity untapped
- **Consequence:** Pakistan cannot climb the value chain without human capital investment

Lucas (1988): *“Once you start thinking about the growth of nations, it is hard to think about anything else.”* — Pakistan’s growth ceiling is fundamentally a **human capital** ceiling.

Climate Vulnerability — The Emerging Threat

IMPACT ON INDUSTRY

- **2022 floods** cost **$30B** — wiped out 2 years of GDP gains
- Agriculture and energy sectors most exposed
- Water scarcity threatens textile dyeing and finishing operations
- Rising temperatures reduce labour productivity
- **IMF Resilience and Sustainability Facility** (2025) provides some financing

ECONOMIC COST

- Pakistan ranks among the **top 10 most climate-vulnerable** nations
- Climate damages estimated at **2–3% of GDP annually** in bad years
- Agricultural productivity losses cascade to agro-industry
- Insurance penetration near zero — all risk borne by producers
- No industrial climate adaptation strategy exists

Summary: The Challenge Matrix

CHALLENGE	SEVERITY	TIME HORIZON	IMPACT ON INDUSTRY
Energy Crisis & Circular Debt	CRITICAL	Immediate	Existential
Export Stagnation	CRITICAL	Immediate	Growth-limiting
Anti-Export Bias & Tariff Structure	CRITICAL	Medium-term	Competitiveness
Narrow Tax Base / Over-taxation	CRITICAL	Immediate	Investment deterrent
Brain Drain	HIGH	Ongoing	Human capital loss
PSE Fiscal Burden	HIGH	Structural	Fiscal space
Human Capital Deficit	HIGH	Long-term	Growth ceiling

CHALLENGE	SEVERITY	TIME HORIZON	IMPACT ON INDUSTRY
Informal Economy	HIGH	Structural	Revenue & productivity
Climate Vulnerability	MEDIUM	Long-term	Supply chain risk
Policy Discontinuity	CRITICAL	Structural	Investor confidence

Core Message: Pakistan's industrial sector faces not one crisis but a **compounding set of structural failures** — each reinforcing the others. Piecemeal reform will not work. A comprehensive, sustained industrial strategy is the only path forward.

NEXT LECTURE →

Industrial Policy, the Boom-Bust Cycle & The Way Forward

Regional comparisons · Policy frameworks · Reform agenda

Prof. Dr. Zahid Asghar · School of Economics, QAU · Spring 2026